

All figures sourced from Government of Canada and Government of Alberta open data, Statistics Canada, federal and provincial statute, UN treaty, and peer-reviewed research.

Movement Two — The Architecture

Section 2.1 — Old Age Security: The Foundation, the Clawback, the Political Vulnerability

The Old Age Security pension is the foundation of the Canadian senior income system. It is the most universal of the senior programs, the most widely understood by the public, and the most widely misunderstood. Movement Two of this document begins with OAS because OAS is the single program that most Canadians believe they have an entitlement to in old age. The structural truth is that OAS is an entitlement only in the sense that the Government of Canada has chosen to make it one, that the Government has chosen otherwise in the past, and that the Government can choose otherwise again. This Section walks the operational reality of OAS — how it is funded, who qualifies, what they receive, how it is reduced, and what its political history reveals about the durability of the entitlement.

What OAS is and how it is funded

The Old Age Security pension is a monthly taxable payment available to most Canadians aged sixty-five and older. (Source: *Old Age Security Act, R.S.C. 1985, c. O-9*; *Service Canada — Old Age Security overview page, 2026*.) It is funded from the general tax revenues of the Government of Canada. It is not funded from individual contributions. There is no OAS payroll deduction during a worker's working years. There is no OAS account in a worker's name that grows over time. The OAS pension is paid by Parliament from the federal consolidated revenue fund in the year the pension is paid, on the same basis that Parliament pays for highways, military procurement, federal courts, and Indigenous services.

This funding structure is not a technical detail. It is the central operational fact about OAS that working-age Canadians most need to understand. The OAS pension cannot be claimed by a senior on the basis that they paid for it through their working life, because they did not. The OAS pension is paid because Parliament has chosen to pay it, in the amounts Parliament has chosen, to the recipients Parliament has determined eligible. Each of these decisions has been made differently at different times in Canadian history, and each can be made differently again.

Eligibility: residency, age, and the sponsorship exclusion

The Old Age Security Act establishes eligibility on three primary axes: age, residency, and (since 2025) sponsorship status.

The age threshold is sixty-five. (Source: *Old Age Security Act, R.S.C. 1985, c. O-9, section 3*.) Pension payments may begin the month after the recipient's sixty-fifth birthday. The recipient may defer the start of OAS up to age seventy in exchange for an increased monthly amount, discussed below.

The residency threshold has two tiers. To qualify for the full OAS pension, the applicant must have resided in Canada for at least forty years after the age of eighteen. To qualify for a partial OAS pension, the applicant must have resided in Canada for at least ten years after the age of eighteen. (Source: *Old Age Security Act, sections 3 and 4*; *Service Canada — Old Age Security eligibility page, 2026*.) The partial pension is calculated proportionally: a recipient who has lived in Canada for twenty years after age eighteen receives twenty-fortieths, or fifty per cent, of the full OAS pension.

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The sponsorship exclusion was implemented effective October 1, 2025. (Source: Service Canada — *Old Age Security: Eligibility, sponsorship clause, 2025*; Government of Canada — *Immigration, Refugees and Citizenship Canada policy update, 2025*.) Individuals under a sponsorship agreement are not eligible to receive the Guaranteed Income Supplement, the Allowance, or the Allowance for the Survivor for the duration of their sponsorship period. Under family-class sponsorship of parents and grandparents, that period is twenty years. The sponsored senior is, in operational effect, dependent on the sponsor for the duration of the sponsorship. The exclusion does not affect the basic OAS pension itself, where residency requirements are met, but it removes the income-tested top-up that would otherwise lift the recipient from the OAS-only floor to a more livable income. The 2025 sponsorship-rule change expanded the categories of sponsored persons excluded from these benefits.

Current OAS amounts

The OAS pension has, since July 2022, been paid at two different rates: a base rate for recipients aged sixty-five through seventy-four, and a higher rate for recipients aged seventy-five and over. The differential was introduced under the Liberal government's *Bill C-12, An Act to amend the Old Age Security Act*, with the stated purpose of providing additional support to older seniors whose savings were more likely to be depleted. (Source: *Bill C-12, An Act to amend the Old Age Security Act (Guaranteed Income Supplement)*, S.C. 2022, c. 5; Department of Finance Canada — *Budget 2021 — Strengthening Old Age Security, 2021*.)

For the period January through March 2026, the maximum OAS pension was seven hundred and forty-two dollars and thirty-one cents per month for recipients aged sixty-five to seventy-four, and eight hundred and sixteen dollars and fifty-four cents per month for recipients aged seventy-five and over. (Source: Service Canada — *Old Age Security Benefit Payment Rates, January–March 2026*.) For the period April through June 2026, the maximum was adjusted to seven hundred and forty-three dollars and five cents per month (sixty-five to seventy-four) and eight hundred and seventeen dollars and thirty-six cents per month (seventy-five and over). (Source: Service Canada — *Maximum Benefit Amounts and Related Figures – Old Age Security, April–June 2026*.) OAS amounts are reviewed quarterly and adjusted for cost of living using the Consumer Price Index. The annualized maximum at the April–June 2026 rate is approximately eight thousand nine hundred and seventeen dollars per year for ages sixty-five to seventy-four and approximately nine thousand eight hundred and eight dollars per year for ages seventy-five and over.

These amounts are not, by any standard Canadian measure, sufficient to live on alone. The 2026 Market Basket Measure poverty threshold for a single person in a major Canadian metropolitan area is approximately twenty-five thousand to twenty-seven thousand dollars per year. (Source: Statistics Canada — *Market Basket Measure thresholds, Canadian Income Survey, 2024 and 2025 reference periods*.) OAS alone, at the maximum rate, provides approximately one-third of the income required to reach the poverty line for a single senior in a Canadian city. The Guaranteed Income Supplement is the program designed to address the gap, for those whose income is low enough to qualify; the GIS is documented in Section 2.4.

The deferral option and its math

A recipient may defer the start of OAS up to age seventy. (Source: *Old Age Security Act, R.S.C. 1985, c. O-9, section 7.1*; Service Canada — *When to start your retirement pension page, 2026*.) Each month of deferral past age sixty-five increases the monthly OAS amount by zero point six per cent — equivalent to seven point two per cent per year of deferral, or thirty-six per cent total at age seventy compared to age sixty-five. There is no further increase for deferral past age seventy. A recipient who has not applied by age

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seventy is not retroactively credited with deferral past that point.

The deferral option is, in policy intent, a mechanism that allows higher-income seniors to optimize their retirement income by delaying OAS until they are past the recovery-tax threshold or past their highest-earning years. In operational reality, the deferral option produces a higher long-term income stream for recipients with the financial capacity to wait, and produces nothing for recipients without that capacity. A senior without other significant retirement income cannot defer OAS because they need it now. A senior with significant retirement income — who is least in need of the OAS lift — can defer to optimize their lifetime benefit. The deferral structure rewards those who least need it. This is consistent with the structural pattern documented elsewhere in this document.

A senior who defers and dies before reaching the breakeven age — typically around age eighty, depending on inflation assumptions and the recipient's specific circumstances — receives less in lifetime OAS than they would have received by starting at sixty-five. The deferral decision is functionally a longevity bet. Recipients with shorter life expectancies, including recipients with disabilities, recipients in lower-income communities, Indigenous recipients, and racialized recipients whose life expectancies are statistically lower than the Canadian average, are structurally penalized by the deferral option being framed as a financial-optimization tool. The optimization framing assumes a longer life expectancy than these populations have.

The recovery tax (clawback)

OAS is income-tested at the upper end through the OAS recovery tax, commonly referred to as the OAS clawback. (*Source: Old Age Security Act, sections 33-37; Service Canada — Old Age Security pension recovery tax, 2026.*) For recipients whose net income exceeds a threshold set annually, fifteen cents of each additional dollar of income is repaid through the recovery tax. The recovery tax continues to apply to additional income until the recipient's OAS pension is fully clawed back at the upper threshold.

For the period July 2026 through June 2027, the recovery-tax thresholds are as follows. The clawback begins at net income of ninety-three thousand four hundred and fifty-four dollars (based on 2025 net world income for that recipient). The clawback fully eliminates OAS at net income of approximately one hundred and fifty-one thousand six hundred and sixty-eight dollars for recipients aged sixty-five to seventy-four, and at approximately one hundred and sixty thousand six hundred and ninety-six dollars for recipients aged seventy-five and over. (*Source: Service Canada — Maximum Benefit Amounts and Related Figures – Old Age Security, April–June 2026; Wealthisimple — OAS Clawback Explained, January 2026.*) These figures are adjusted annually for inflation.

The recovery-tax mechanism is, in policy intent, a means-test on the upper end of OAS eligibility. In operational reality, it produces several structural outcomes that are often surprising to the recipient encountering them for the first time:

- A senior with a modest workplace pension, a modest CPP retirement pension, and modest investment income can find themselves above the recovery-tax threshold without considering themselves wealthy. Net income of ninety-three thousand four hundred and fifty-four dollars is well below the income at which most Canadians would self-identify as having significant resources.
- The recovery tax is calculated against net income, which includes most retirement income but not Tax-Free Savings Account withdrawals. Seniors who saved primarily through TFSAs face less clawback

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than seniors who saved primarily through Registered Retirement Savings Plans, even at identical effective income levels. The structure rewards savers who used the right vehicles.

- The recovery tax does not differentiate between earned income, pension income, investment income, and other income types. A senior who continues to work past sixty-five — for income, for purpose, for engagement — has their OAS clawed back at the same rate as a senior whose income is from passive investments.
- The recovery tax is calculated on individual income, not household income. Two seniors each with ninety thousand dollars of income face no recovery tax. One senior with one hundred and eighty thousand dollars of income (the same combined household amount) faces full clawback. Income splitting between spouses is therefore a significant tax-planning consideration for senior couples — a consideration that requires either a workplace pension that permits splitting, or proactive use of spousal RRSPs during the working years, or sophisticated retirement-income planning that most seniors do not have access to.

What OAS does not include

OAS does not include a survivor benefit. (Source: *Old Age Security Act*; *ATB Financial — When should I start collecting OAS? 2026*.) When an OAS recipient dies, the OAS pension ends. The surviving spouse does not inherit any portion of the deceased spouse's OAS. The only OAS-related provision for survivors is the Allowance for the Survivor, available to surviving spouses or common-law partners aged sixty to sixty-four with annual income below approximately thirty thousand three hundred and twelve dollars (2026 figure). (Source: *ATB Financial — OAS Allowance and GIS, 2026*; *Service Canada — Allowance for the Survivor page, 2026*.) The Allowance for the Survivor ends the month following the survivor's sixty-fifth birthday, at which point the survivor's own OAS, GIS, and CPP retirement (if any) become the income.

This design choice — the absence of a survivor benefit in OAS — has substantial impact on the income of surviving spouses, particularly women, who statistically outlive their male partners. A senior couple receiving two OAS pensions plus one or two CPP retirement pensions plus, where applicable, GIS, sees a substantial drop in household income at the death of one partner. The surviving partner continues to face the full cost of housing, utilities, food, transportation, and care, but with one OAS gone, often with the larger CPP gone (if the deceased partner was the higher earner), and with a different GIS calculation that may or may not produce more income depending on circumstances. The surviving partner's income drop at widowhood is documented across senior-poverty literature as a major driver of senior-women's poverty in Canada. (Source: *Statistics Canada — Income of Senior Women in Canada, 2017 and 2022 reference periods*; *Public Health Agency of Canada — Health Inequalities in Canada, women and aging report, 2023*.)

The political vulnerability of OAS

OAS has been amended repeatedly across successive federal governments. The amendments have not been neutral, and the political history is consequential for the working-age reader who assumes OAS will be paid at the current rate, on the current eligibility terms, when they reach sixty-five.

In 2012, the federal Conservative government under Prime Minister Stephen Harper announced changes to OAS that would gradually increase the age of eligibility from sixty-five to sixty-seven, phased in between 2023 and 2029. (Source: *Government of Canada — Budget 2012, Old Age Security changes*; *Library of Parliament — Bill C-38, Jobs, Growth and Long-Term Prosperity Act, 2012*.) The change was passed as

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part of an omnibus budget bill. It was justified on the basis of demographic sustainability, pointing to the projected increase in the OAS-eligible population as the baby-boom cohort reached retirement age.

In 2016, the federal Liberal government under Prime Minister Justin Trudeau reversed the age-of-eligibility increase, restoring the eligibility age to sixty-five. (*Source: Government of Canada — Budget 2016 — A New Chapter for OAS; Library of Parliament — Bill C-15, Budget Implementation Act, 2016, No. 1.*) The reversal was justified on the basis that the previous government's analysis had not accounted adequately for the impact on low-income seniors, who are most reliant on OAS and least able to delay retirement.

The same program — the same statute — has been amended in opposite directions by successive federal governments within a four-year window. The OAS eligibility age that a Canadian forty-five years old today plans for is the eligibility age the current government has chosen. The eligibility age for that same Canadian when they reach sixty-five depends on what the government in power at that time chooses, on what subsequent governments choose, on the budget and demographic context at each decision point, and on the political pressure that low-income seniors and their advocates can bring at each decision point.

The OAS recovery-tax thresholds have been adjusted repeatedly. The 75-and-over differential was introduced in 2022 and could be modified or removed by future legislation. The residency requirements have been the subject of repeated review. The funding source — general revenue — means that OAS is in direct competition with every other federal expenditure for the available fiscal capacity. There is no dedicated OAS reserve, no OAS-specific funding stream, no protection from being reduced or restructured if a future government chooses to do so.

The lifecycle observation

OAS, more than any other program in this Movement, depends on the political choices of the government in power. The worker arriving at sixty-five in 2046 — twenty years from the date of this document — will receive the OAS that the federal government of 2046 has chosen to provide, on the eligibility terms and at the indexing structure that the federal government of 2046 has chosen. Nothing about the current OAS program is structurally guaranteed for that worker. The program is statutory. The statute can be changed.

This is the structural fragility of OAS. It is, in current operational reality, the most universal and most reliable component of the senior income system. It is also the most exposed to political change. The worker who has built their retirement assumptions around the current OAS structure is making an assumption about the political durability of a program that has been changed twice within the last decade.

Section 2.2 walks the Canada Pension Plan — the program that, unlike OAS, is contributory. The contribution structure of CPP introduces a different set of problems, documented next.